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FOR STARTERS, it wasn't even a judgement but an observation made by the Justice D.Y. Chandrachud-led Supreme Court (SC) bench while dismissing the central government's appeal challenging a Gujarat High Court ruling that termed integrated GST (IGST) on ocean freight as unconstitutional. On May 19, the apex court bench remarked that the recommendations of the GST Council are persuasive in nature and, thus, not binding on the centre and the states. The remarks were made while delivering a verdict in the Union of India vs. Mohit Minerals case.

"It is not imperative that one of the federal units must always possess a higher share in the power for the federal units to make decisions. Indian federalism is a dialogue between cooperative and uncooperative federalism where the federal units are at liberty to use different means of persuasion ranging from collaboration to contestation," the bench wrote in its judgement. The SC upheld the Gujarat High Court's ruling that no IGST is payable on ocean freight under the reverse charge mechanism (RCM) on cost, insurance and freight (CIF) contracts for import of goods by Indian importers since IGST is payable only on a composite supply of goods.

Within minutes of the preliminary details of the judgement emerging, an intense debate started in many quarters. Warning bells were sounded that the judgement would wreck the very foundation of

the GST regime and a situation of "Many Indias, Many Taxes" would arise. It was said that the judgement would enable the centre and states to charge different levies once the GST compensation provided by the centre expired on June 30.

"The GST council was supposed to decide rates and the structure of the tax. Now some states will begin to say that this does not apply to us and this will destroy the idea of One Nation, One Tax. The entire reason for having GST would be undermined. It will enable the states to do what they like, but that will be against the idea of GST," says economist Arun Kumar.

Welcoming the judgement, Kerala Finance Minister K.N. Balagopal had told *Business Today*, "Actually, the GST, from inception, has been

against the interests of federalism. And this judgement has upheld the freedom of states in taxation. This will be a big boost for cooperative federalism". Going a step further, several opposition leaders had termed the GST Council as ineffective and called for it to be dismantled.

Meanwhile, exporters have welcomed the judgement. "As far as the GST Council verdict is concerned, we still need to see the impact of it in the next GST Council meeting. We are in wait-and-watch mode as far as quashing of ocean freight is concerned. That is a welcome step for us and good for the industry," says R.K. Jalan, Chairman of AFPL Global, a Kanpur-based exporter of leather accessories.

AFTER THE JUDGEMENT, it was speculated that the IGST rates would also be impacted soon. Besides, the judgement would pave the way for a complete makeover of the Goods and Services Tax Network (GSTN) platform for filing of returns, as availing of input tax credits, issuance of notices, refund claims, etc., are all done through it. But as the days passed, it appears that the entire hullaballoo may well have been premature. Expressing surprise at the reams of conjecture being written on the judgement's various implications, Justice Chandrachud told senior advocate Harish Salve during a hearing in a separate GST-related matter that the bench had merely ruled on "the aspect of composite supply".

And that is what it is. "It's an observation that explains the position of law as on date, just like the debates in 2017, when GST was implemented. The Constitution was amended for the purpose that a part of the GST will completely go to the state (SGST); a part that will be collected by the Union (CGST); and, a part that will be collected by the Union and distributed between the



The centre and states are unlikely to take opposing views on the GST Council's recommendations as they wouldn't want to derail the concept of uniform taxation